

Performance Management & Grievance Policy Guidelines

Version 2026.1 | Standard Operating Procedures for Appraisals, PIPs, and Dispute Resolutions

Section 1: Annual Appraisal Framework & Rating Distribution

The enterprise performance management framework establishes transparent, measurable performance criteria evaluated biannually on June 15 and December 15. Appraisals combine objective KPI achievement (weighted 60%), technical execution and craft quality (weighted 25%), and leadership or cultural-values alignment (weighted 15%). Managers submit draft ratings two weeks before the review date; ratings are then calibrated in cross-functional panels to reduce individual manager bias before being finalized.

Performance ratings follow a standardized 5-point evaluation scale:

- **Rating 5.0 (Outstanding):** Top 10% of workforce. Consistently exceeds targets. Qualifies for 1.50x bonus multiplier and priority merit increase.
- **Rating 4.0 (Exceeds Expectations):** Exceeds core goals in major impact areas. Qualifies for 1.25x bonus multiplier.
- **Rating 3.0 (Meets Expectations):** Consistently meets established standards. Qualifies for 1.00x bonus multiplier.
- **Rating 2.0 (Needs Improvement):** Fails to meet expectations in 1-2 core duties. Requires a mandatory 60-day Performance Improvement Plan (PIP).
- **Rating 1.0 (Unsatisfactory):** Persistent failure across primary responsibilities. Triggers formal disciplinary review or contract termination.

Calibration panels apply a soft guideline — not a forced curve — targeting roughly 10% of a function at Rating 5.0 and no more than 5% combined at Ratings 1.0-2.0, reviewed each cycle by the Executive People Committee to confirm the distribution reflects genuine performance rather than quota pressure.

Section 2: Performance Improvement Plan (PIP) Execution Roadmap

Employees assigned a Rating 2.0 enter a structured 60-day Performance Improvement Plan. The PIP details clear, measurable objectives, weekly milestone check-ins with the direct manager and HRBP, and access to technical or managerial coaching resources funded by the Learning & Development budget.

Bi-weekly progress audits are conducted on Day 15, Day 30, Day 45, and Day 60. If acceptable performance standards are achieved by Day 60, the PIP is closed and the employee returns to standard review cadence. Failure to meet targets results in contract termination, subject to the progressive discipline safeguards described in Section 4.

Section 3: Workplace Grievance Escalation Architecture & SLA Matrix

Employees have the right to seek fair resolution for workplace disputes, unfair treatment, or policy misapplication (harassment and discrimination complaints follow the separate, confidential process managed by the Internal Complaints Committee). General grievances are managed through a three-tier escalation hierarchy:

Escalation Tier	Authority Officer	Initial Acknowledgement	Max Investigation SLA
Level 1 (Initial)	Direct Reporting Manager	24 Hours	5 Business Days
Level 2 (Departmental)	HR Business Partner (HRBP)	48 Hours	10 Business Days
Level 3 (Executive)	Chief Human Resources Officer (CHRO)	72 Hours	14 Business Days

Grievances that remain unresolved after Level 3 investigation may be referred, at the employee's request, to an external ombudsperson retained by the company, whose recommendation is advisory but is reviewed directly by the CEO's office.

Section 4: Progressive Disciplinary Policy Framework

Uncorrected misconduct or policy breaches warrant progressive discipline in the following order: (1) Verbal Counseling, documented in the employee file; (2) Written Warning; (3) Final Written Warning combined with a 5-day unpaid suspension; (4) Involuntary termination of employment. Serious misconduct — including theft, violence, or data exfiltration — bypasses progressive steps and may result in immediate termination following a documented investigation.

Section 5: Whistleblower Safeguards & Anti-Retaliation Protections

The organization strictly prohibits retaliation of any kind against an employee who reports a grievance, safety concern, or compliance violation in good faith, whether the report is made to a manager, HR, legal, or the anonymous ethics hotline. Any confirmed retaliatory conduct results in immediate termination of the offending party, regardless of seniority.

Section 6: Goal Setting, OKRs & Mid-Cycle Check-Ins

Every employee sets quarterly objectives and key results (OKRs) in the performance system within the first 2 weeks of each quarter, aligned to team and company priorities cascaded from the annual strategic plan. Managers and direct reports hold a documented 1:1 check-in at least every 2 weeks, and a formal mid-quarter progress review at the midpoint of each quarter to surface risks before they affect the biannual rating.

Objectives that become obsolete mid-quarter due to shifting business priorities may be revised with manager sign-off; unexplained objective changes after the quarter's final two weeks are flagged during calibration as a possible sign of goal-setting weakness rather than genuine business change.

Section 7: 360-Degree Feedback for People Managers

All people-managers (anyone with 1 or more direct reports) undergo an anonymous 360-degree feedback survey once per year, gathering input from direct reports, peers, and the manager's own manager. Aggregated results (minimum 3 respondents required to preserve anonymity) are shared with the manager and factored qualitatively into the leadership-competency component of their own annual rating; raw individual comments are never shared with the manager or with anyone outside the People Analytics team.

Section 8: Appeals Process for Disputed Ratings

An employee who disagrees with their finalized performance rating may file a written appeal within 10 business days of the rating being communicated. The appeal is reviewed by a panel consisting of the HRBP, a skip-level manager, and one calibration-committee representative who was not involved in the original rating decision. The panel issues a decision within 15 business days; the appeal decision is final and is not subject to further internal escalation.

Section 9: Documentation Standards for Managers

Managers are required to log specific, dated examples of performance in the system throughout the review period rather than reconstructing feedback from memory at cycle-end. A rating of 2.0 or below must be supported by at least 3 documented, dated instances shared with the employee before the formal review meeting; ratings lacking this documentation are returned to the manager by the calibration panel for revision before they can be finalized.

Section 10: Grievance Categories & Illustrative Examples

Grievance Category	Illustrative Example	Typical Handling Track
Compensation dispute	Incorrect band applied at promotion	Level 1 -> Level 2 (HRBP + Payroll)
Unfair treatment	Inconsistent application of leave policy	Level 1 -> Level 2
Manager conduct	Repeated dismissive behavior in meetings	Level 2 direct (bypass manager)
Harassment / discrimination	Any protected-characteristic based conduct	Internal Complaints Committee (separate process)

Grievances that a Level 1 manager cannot handle impartially — such as complaints about the manager themselves — are routed directly to Level 2 without requiring the employee to raise the matter with the person the complaint concerns.